Mortgage Trends

The housing market has improved to the point where new home sales have hit their highest levels since April, 2008. In 2008, the housing market as well as the US economy went into a downward spiral. In the mid-2000s, many subprime mortgages had been approved and this contributed to the mortgage crisis.

The housing market is now rebounding and this encourages home sales. The best selling time is in the spring and summer because it allows families to get settled into a new home before the start of the school year.

Currently, down payments range from zero (unlikely, but not impossible) to about 20 percent. Most lenders require at least 3 percent and FHA loans require at least 3.5 percent.

Long-term mortgage rates were around 3.42 percent at the end of 2016, according to the big mortgage lender, Freddie Mac. The 15-year mortgage, which is popular with refinancers, was at 2.81 percent.

MORTGAGE ASSISTANCE

Government programs for mortgage assistance

Several programs designed to help homeowners are available. Here's an overview, and for more details, go to the Making Home Affordable website: www.makinghomeaffordable.gov

HOME AFFORDABLE MODIFICATION PROGRAM (HAMP)
Helps those who need lower monthly payments so they continue to pay their mortgage in the long-term.

HOME AFFORDABLE REFINANCE PROGRAM (HARP)
Assists those who are current on their mortgages, but have had difficulty refinancing the loan.

HOME AFFORDABLE FORECLOSURE ALTERNATIVES PROGRAM (HAFA)
Advises homeowners who need to exit their homes and be relieved of their remaining mortgage debt either via a short sale or a deed-in-lieu of foreclosure (DIL). HAFA provides $10,000 for relocation expenses.

HOME AFFORDABLE UNEMPLOYMENT PROGRAM (UP)
This program reduces or even suspends monthly mortgage payments for job hunters.

FEDERAL HOUSING ADMINISTRATION SHORT REFINANCE FOR BORROWERS WITH NEGATIVE EQUITY (FHA SHORT REFINANCE)
For those who are up-to-date on payments, but owe more than their home is worth (called an underwater mortgage).

HARDEST HIT FUND PROGRAMS (HHF)
These programs in 18 states and the District of Columbia were designed to help homeowners who have issues such as unemployment, inability to pay mortgages, and finding a new affordable home to move to. Program details vary by state.